Form 1120 · U.S. Corporation Income Tax Return · 2025

Prepared summary in the return's lines; not the official Form 1120. Calendar year 2025.

Name	HANGS Construction Services LLC
EIN	91-7305518 (demonstration)
Address	2200 Harbor Works Drive, Anytown, WA 00000
Classification	LLC taxed as a corporation (Form 8832); accrual method; activity code 236220
Total assets (item D)	$1,697,760.79
Due date	April 15, 2026; Form 7004 extends the time to file, not to pay

Income

1a	Gross receipts or sales		5,312,400.00
1c	Balance (no returns and allowances)		5,312,400.00
2	Cost of goods sold (Form 1125-A)		3,865,885.00
3	Gross profit		1,446,515.00
5	Interest		3,412.58
11	**Total income**		**1,449,927.58**

Deductions

12	Compensation of officers (Form 1125-E)	*OFFICER-01; bonus deferred*	260,000.00
13	Salaries and wages		168,400.00
14	Repairs and maintenance		24,310.00
15	Bad debts		0.00
16	Rents		66,000.00
17	Taxes and licenses	*penalty removed*	90,350.00
18	Interest		18,940.00
19	Charitable contributions	*10% limit*	31,376.89
20	Depreciation (Form 4562)	*BONUS-01*	290,448.64
23	Pension, profit-sharing, etc., plans		18,400.00
24	Employee benefit programs		44,180.00
26	Other deductions (statement)	*meals at 50%*	155,130.00
27	**Total deductions**		**1,167,535.53**

Tax, Payments and Amount Owed

28	Taxable income before NOL and special deductions		282,392.05
29c	NOL and special deductions		0.00
30	**Taxable income**		**282,392.05**
31	Total tax (Schedule J, line 12)		59,302.33
32	Section 1062 installment		*blank*
33	Total payments (Schedule J, line 23)		48,300.00
34	Estimated tax penalty (Form 2220)	*ESTTAX-01*	123.47
35	**Amount owed**		**11,125.80**

Signature: none. This draft has not been filed. Open items stay with a person: BONUS-01, OFFICER-01, RELATED-01, ESTTAX-01, RETURN-01.

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Schedule J · Schedule K · Form 1125-A · Form 1125-E

Schedule J · Tax Computation and Payment

1a	Income tax: line 30 x 21%	59,302.33
3	Corporate alternative minimum tax	0.00
12	Total tax	59,302.33
13	Preceding year's overpayment credited	0.00
14	Current year's estimated tax payments	48,300.00
23	Total payments and credits	48,300.00

Schedule K · Other Information, from the questionnaire

1	Accounting method	Accrual
2a	Business activity code	236220
2b	Business activity	Commercial and institutional building construction
4b	Does an individual own 50% or more of the voting stock?	Yes: Celeste Whitford, 60% (Schedule G)
5	Does the corporation own 20% or more of another entity?	No
7	Is a foreign person a 25% owner?	No
13	Receipts and assets under $250,000?	No: Schedules L, M-1 and M-2 completed
15a/b	Forms 1099 required and filed?	Yes and yes

Form 1125-A · Cost of Goods Sold

2	Purchases (materials)	1,010,420.00
3	Cost of labor (direct labor and its payroll taxes)	887,300.00
5	Other costs (subcontracts, equipment rental, job costs)	1,968,165.00
8	**Cost of goods sold**	**3,865,885.00**

Lines 1 and 7: no inventory. Method: cost; no section 263A costs beyond the contract costs.

Form 1125-E · Compensation of Officers

	Celeste Whitford, President, 100% time, 60% of the stock	150,000.00
	Riley Tanaka, Vice President, 100% time, 40% of the stock	110,000.00
4	**Total compensation of officers (to line 12)**	**260,000.00**

The President's $30,000.00 bonus accrued December 31, 2025 is not on the 2025 Form 1125-E: paid January 9, 2026 to a 60% owner, it is deducted in 2026. The members' consent approving the pay is unsigned (OFFICER-01).

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Schedules L, M-1 and M-2

Schedule L · Balance Sheets per Books

		Beginning	End of year
1	Cash	312,640.18	365,777.76
2a	Trade notes and accounts receivable	621,220.00	700,790.00
2b	Less allowance for bad debts	4,000.00	6,180.00
6	Other current assets (statement)	81,250.00	225,820.00
10a	Buildings and other depreciable assets	293,900.00	582,700.00
10b	Less accumulated depreciation	87,201.32	171,146.97
15	**Total assets**	1,217,808.86	**1,697,760.79**
16	Accounts payable	465,860.00	498,410.00
18	Other current liabilities (statement)	85,000.00	132,150.00
20	Notes payable in 1 year or more	168,900.00	241,350.00
22b	Common stock (members' contributed capital)	150,000.00	150,000.00
25	Retained earnings, unappropriated	348,048.86	**675,850.79**
28	**Total liabilities and shareholders' equity**	1,217,808.86	**1,697,760.79**

Line 6 includes $120,000.00 due from Juniper Ridge Partners LLC, a related company (RELATED-01).

Schedule M-1 · Reconciliation of Income per Books With Income per Return

1	Net income per books	387,801.93
2	Federal income tax per books	48,300.00
5	Expenses not deducted: accrued bonus, penalty, allowance increase	36,430.00
5b	Charitable contributions over the 10% limit	4,623.11
5c	Travel and entertainment (meals 50%, entertainment)	11,740.00
6	**Add lines 1 through 5**	**488,895.04**
8a	Deductions not charged against book income: depreciation	206,502.99
10	**Income (page 1, line 28)**	**282,392.05**

Schedule M-2 · Analysis of Unappropriated Retained Earnings

1	Balance at beginning of year	348,048.86
2	Net income per books	387,801.93
5a	Distributions: cash	60,000.00
8	**Balance at end of year**	**675,850.79**

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Supporting Statements · Forms 4562 and 2220

Form 4562 · Depreciation, asset by asset

Asset	Contract / in service	Cost	Allowance	MACRS	2025 tax
FA-2201 Skid steer loader	2022-03-28 / 2022-04-11	58,400.00	0.00	0.00	0.00
FA-2202 Pickup truck, crew 1	2022-06-20 / 2022-07-05	49,800.00	0.00	0.00	0.00
FA-2301 Mini excavator, 8-ton	2023-04-24 / 2023-05-15	96,500.00	0.00	3,705.60	3,705.60
FA-2302 Survey total station	2023-08-14 / 2023-09-01	18,600.00	0.00	714.24	714.24
FA-2401 Pickup truck, crew 2	2024-02-12 / 2024-03-04	58,200.00	0.00	7,449.60	7,449.60
FA-2402 Field laptops, 8	2024-07-29 / 2024-08-12	12,400.00	0.00	1,587.20	1,587.20
FA-2501 Equipment trailer, 20-ton tilt deck	2024-12-18 / 2025-01-27	24,600.00	9,840.00 (40%)	2,952.00	12,792.00
FA-2502 Excavator, 30-ton	2025-02-24 / 2025-03-17	186,000.00	186,000.00 (100%)	0.00	186,000.00
FA-2503 Pickup truck, crew 3	2025-05-28 / 2025-06-09	62,400.00	62,400.00 (100%)	0.00	62,400.00
FA-2504 Site tablets and laptops, 10	2025-07-30 / 2025-08-18	15,800.00	15,800.00 (100%)	0.00	15,800.00
14	Special depreciation allowance, all 2025 additions				274,040.00
22	**Total depreciation (to line 20)**				**290,448.64**

The trailer FA-2501 was ordered December 18, 2024: 40%, not the 100% the register took ($302,256.64 in the register against $290,448.64 here) (BONUS-01). No section 179 expense; no last-quarter additions, so the half-year convention applies.

Form 2220 · Underpayment of Estimated Tax

3	Total tax, 2025	59,302.33
4	Tax shown on the 2024 return (12 months)	48,300.00
5	Required annual payment, the smaller	48,300.00
	Installment 1, due 2025-04-15: required 12,075.00, paid 12,075.00 on 2025-04-15, short 0.00	
	Installment 2, due 2025-06-16: required 12,075.00, paid 12,075.00 on 2025-06-16, short 0.00	
	Installment 3, due 2025-09-15: required 12,075.00, paid 5,000.00 on 2025-09-15, short 7,075.00	
	Installment 4, due 2025-12-15: required 12,075.00, paid 19,150.00 on 2025-12-15, short 0.00	
	7,075.00 x 15 days (2025-09-16 to 2025-09-30) x 7% / 365 = 20.35	
	7,075.00 x 76 days (2025-10-01 to 2025-12-15) x 7% / 365 = 103.12	
38	**Penalty (to line 34)**	**123.47**

Statements

Line 26, other deductions: insurance, vehicles and fuel, professional fees, office expense, bank charges, and meals of $9,900.00 (50% of $19,800.00); the $1,840.00 of stadium suite tickets is entertainment and not deducted.

Line 19: contributions of $36,000.00 limited to 10% of $313,768.94, $31,376.89; carryover to 2026 $4,623.11.

Line 17: the $4,250.00 Labor and Industries citation penalty is not deducted.

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FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Income · Line 1a · Gross receipts or sales

$5,312,400.00

Workbook: Income!B8

Draft figure · open items and review remain

Income!B8 = $5,312,400.00

=ROUND(-('E04 Trial Balance'!E29),2)

E04 Trial Balance!E29 = ($5,312,400.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E29

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Income · Line 2 · Cost of goods sold

$3,865,885.00

Workbook: Income!B14

Draft figure · open items and review remain

Income!B14 = $3,865,885.00
=ROUND(B11+B12+B13,2)

Income!B11 = $1,010,420.00
=ROUND('E04 Trial Balance'!E32,2)

E04 Trial Balance!E32 = $1,010,420.00

Income!B12 = $887,300.00
=ROUND('E04 Trial Balance'!E33+'E04 Trial Balance'!E34,2)

E04 Trial Balance!E33 = $812,540.00

E04 Trial Balance!E34 = $74,760.00

Income!B13 = $1,968,165.00
=ROUND('E04 Trial Balance'!E31+'E04 Trial Balance'!E35+'E04 Trial Balance'!E36,2)

E04 Trial Balance!E31 = $1,804,350.00

E04 Trial Balance!E35 = $104,880.00

E04 Trial Balance!E36 = $58,935.00

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E31, Trial Balance!E35, Trial Balance!E36

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Income · Line 3 · Gross profit

$1,446,515.00

Workbook: Income!B15

Draft figure · open items and review remain

Income!B15 = $1,446,515.00
=ROUND(B10-B14,2)

Income!B10 = $5,312,400.00
=ROUND(B8-B9,2)

Income!B8 = $5,312,400.00
=ROUND(-('E04 Trial Balance'!E29),2)

E04 Trial Balance!E29 = ($5,312,400.00)

Income!B9 = $0.00

Income!B14 = $3,865,885.00
=ROUND(B11+B12+B13,2)

Income!B11 = $1,010,420.00
=ROUND('E04 Trial Balance'!E32,2)

E04 Trial Balance!E32 = $1,010,420.00

Income!B12 = $887,300.00
=ROUND('E04 Trial Balance'!E33+'E04 Trial Balance'!E34,2)

E04 Trial Balance!E33 = $812,540.00

E04 Trial Balance!E34 = $74,760.00

Income!B13 = $1,968,165.00
=ROUND('E04 Trial Balance'!E31+'E04 Trial Balance'!E35+'E04 Trial Balance'!E36,2)

E04 Trial Balance!E31 = $1,804,350.00

E04 Trial Balance!E35 = $104,880.00

E04 Trial Balance!E36 = $58,935.00

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E29, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E31, Trial Balance!E35, Trial Balance!E36

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Income · Line 5 · Interest

$3,412.58

Workbook: Income!B16

Draft figure · open items and review remain

Income!B16 = $3,412.58

=ROUND(-('E04 Trial Balance'!E30),2)

E04 Trial Balance!E30 = ($3,412.58)

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E30

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Income · Line 11 · Total income

$1,449,927.58

Workbook: Income!B17

Draft figure · open items and review remain

Income!B17 = $1,449,927.58
=ROUND(B15+B16,2)

Income!B15 = $1,446,515.00
=ROUND(B10-B14,2)

Income!B10 = $5,312,400.00
=ROUND(B8-B9,2)

Income!B8 = $5,312,400.00
=ROUND(-('E04 Trial Balance'!E29),2)

E04 Trial Balance!E29 = ($5,312,400.00)

Income!B9 = $0.00

Income!B14 = $3,865,885.00
=ROUND(B11+B12+B13,2)

Income!B11 = $1,010,420.00
=ROUND('E04 Trial Balance'!E32,2)

E04 Trial Balance!E32 = $1,010,420.00

Income!B12 = $887,300.00
=ROUND('E04 Trial Balance'!E33+'E04 Trial Balance'!E34,2)

E04 Trial Balance!E33 = $812,540.00

E04 Trial Balance!E34 = $74,760.00

Income!B13 = $1,968,165.00
=ROUND('E04 Trial Balance'!E31+'E04 Trial Balance'!E35+'E04 Trial Balance'!E36,2)

E04 Trial Balance!E31 = $1,804,350.00

E04 Trial Balance!E35 = $104,880.00

... 3 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E29, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E31, Trial Balance!E35, Trial Balance!E36, Trial Balance!E30

Original documents are attached to this PDF. The workbook is attached too.

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FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 12 · Compensation of officers

$260,000.00

Workbook: Deductions!C8

Draft figure · open items and review remain

Deductions!C8 = $260,000.00

=ROUND(B8-'E05 GL Detail'!G25,2)

Deductions!B8 = $290,000.00

='E04 Trial Balance'!E37

E04 Trial Balance!E37 = $290,000.00

E05 GL Detail!G25 = $30,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E37

03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G25

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 13 · Salaries and wages

$168,400.00

Workbook: Deductions!C9

Draft figure · open items and review remain

Deductions!C9 = $168,400.00

=B9

Deductions!B9 = $168,400.00

='E04 Trial Balance'!E38

E04 Trial Balance!E38 = $168,400.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E38

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 14 · Repairs and maintenance

$24,310.00

Workbook: Deductions!C10

Draft figure · open items and review remain

Deductions!C10 = $24,310.00

=B10

Deductions!B10 = $24,310.00

='E04 Trial Balance'!E43

E04 Trial Balance!E43 = $24,310.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E43

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 16 · Rents

$66,000.00

Workbook: Deductions!C12

Draft figure · open items and review remain

Deductions!C12 = $66,000.00

=B12

Deductions!B12 = $66,000.00

='E04 Trial Balance'!E42

E04 Trial Balance!E42 = $66,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E42

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 17 · Taxes and licenses

$90,350.00

Workbook: Deductions!C15

Draft figure · open items and review remain

Deductions!C15 = $90,350.00
=ROUND(C13+C14,2)

Deductions!C13 = $36,620.00
=B13

Deductions!B13 = $36,620.00
='E04 Trial Balance'!E39

E04 Trial Balance!E39 = $36,620.00

Deductions!C14 = $53,730.00
=ROUND(B14-'E05 GL Detail'!G45,2)

Deductions!B14 = $57,980.00
='E04 Trial Balance'!E50

E04 Trial Balance!E50 = $57,980.00

E05 GL Detail!G45 = $4,250.00

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E39, Trial Balance!E50
03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G45

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 18 · Interest

$18,940.00

Workbook: Deductions!C16

Draft figure · open items and review remain

Deductions!C16 = $18,940.00

=B16

Deductions!B16 = $18,940.00

='E04 Trial Balance'!E52

E04 Trial Balance!E52 = $18,940.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E52

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 19 · Charitable contributions

$31,376.89

Workbook: Deductions!C17

Draft figure · open items and review remain

Deductions!C17 = $31,376.89
='Charitable'!B14

Charitable!B14 = $31,376.89
=ROUND(MIN(B11+B12,B13),2)

Charitable!B11 = $36,000.00
='E04 Trial Balance'!E51

E04 Trial Balance!E51 = $36,000.00

Charitable!B12 = $0.00
='E02 Prior Return'!B17

E02 Prior Return!B17 = $0.00

Charitable!B13 = $31,376.89
=ROUND(B10*B6,2)

Charitable!B10 = $313,768.94
=ROUND(B8-B9,2)

Charitable!B8 = $1,449,927.58
='Income'!B17

Income!B17 = $1,449,927.58
=ROUND(B15+B16,2)

Income!B15 = $1,446,515.00
=ROUND(B10-B14,2)

Income!B10 = $5,312,400.00
=ROUND(B8-B9,2)

Income!B8 = $5,312,400.00
=ROUND(-('E04 Trial Balance'!E29),2)

... 148 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E51, Trial Balance!E29, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E31, Trial Balance!E35, Trial Balance!E36, Trial Balance!E30, Trial Balance!E37, Trial Balance!E38, Trial Balance!E43

02 Last Year/2024 Form 1120 return summary.pdf · PDF page 1, the 2024 return's key lines and the taxable income of 2022 and 2023; page 2, Schedule L at the end of 2024

03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G25, GL Detail!G45, GL Detail!G31

04 Fixed Assets/2025 fixed asset register book and tax.xlsx · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 20 · Depreciation

$290,448.64

Workbook: Deductions!C18

Draft figure · open items and review remain

Deductions!C18 = $290,448.64
='Depreciation'!Q18

Depreciation!Q18 = $290,448.64
=ROUND(SUM(Q8:Q17),2)

Depreciation!Q8 = $0.00
=ROUND(N8+O8,2)

Depreciation!N8 = $0.00

Depreciation!O8 = $0.00
=ROUND((E8-ROUND(E8*L8,2))*M8,2)

Depreciation!E8 = $58,400.00
='E06 Fixed Assets'!G8

E06 Fixed Assets!G8 = $58,400.00

Depreciation!L8 = 100.000%
='E06 Fixed Assets'!M8

E06 Fixed Assets!M8 = $1.00

Depreciation!M8 = 11.520%

Depreciation!Q9 = $0.00
=ROUND(N9+O9,2)

Depreciation!N9 = $0.00

Depreciation!O9 = $0.00
=ROUND((E9-ROUND(E9*L9,2))*M9,2)

Depreciation!E9 = $49,800.00
='E06 Fixed Assets'!G9

... 64 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Fixed Assets/2025 fixed asset register book and tax.xlsx · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

Original documents are attached to this PDF. The workbook is attached too.

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FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 23 · Pension and profit-sharing plans

$18,400.00

Workbook: Deductions!C19

Draft figure · open items and review remain

Deductions!C19 = $18,400.00

=B19

Deductions!B19 = $18,400.00

='E04 Trial Balance'!E41

E04 Trial Balance!E41 = $18,400.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E41

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 24 · Employee benefit programs

$44,180.00

Workbook: Deductions!C20

Draft figure · open items and review remain

Deductions!C20 = $44,180.00

=B20

Deductions!B20 = $44,180.00

='E04 Trial Balance'!E40

E04 Trial Balance!E40 = $44,180.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E40

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Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 26 · Other deductions

$155,130.00

Workbook: Deductions!C27

Draft figure · open items and review remain

Deductions!C27 = $155,130.00
=ROUND(SUM(C21:C26),2)

Deductions!C21 = $58,760.00
=B21

Deductions!B21 = $58,760.00
='E04 Trial Balance'!E44

E04 Trial Balance!E44 = $58,760.00

Deductions!C22 = $33,870.00
=B22

Deductions!B22 = $33,870.00
='E04 Trial Balance'!E45

E04 Trial Balance!E45 = $33,870.00

Deductions!C23 = $9,900.00
=ROUND((B23-'E05 GL Detail'!G31)*B6,2)

Deductions!B23 = $21,640.00
='E04 Trial Balance'!E47

E04 Trial Balance!E47 = $21,640.00

E05 GL Detail!G31 = $1,840.00

Deductions!B6 = 50.000%

Deductions!C24 = $31,500.00
=B24

Deductions!B24 = $31,500.00
='E04 Trial Balance'!E48

... 7 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E44, Trial Balance!E45, Trial Balance!E47, Trial Balance!E48, Trial Balance!E49, Trial Balance!E53
03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G31

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Deductions · Line 27 · Total deductions

$1,167,535.53

Workbook: Deductions!C28

Draft figure · open items and review remain

Deductions!C28 = $1,167,535.53
=ROUND(C8+C9+C10+C11+C12+C15+C16+C17+C18+C19+C20+C27,2)

Deductions!C8 = $260,000.00
=ROUND(B8-'E05 GL Detail'!G25,2)

Deductions!B8 = $290,000.00
='E04 Trial Balance'!E37

E04 Trial Balance!E37 = $290,000.00

E05 GL Detail!G25 = $30,000.00

Deductions!C9 = $168,400.00
=B9

Deductions!B9 = $168,400.00
='E04 Trial Balance'!E38

E04 Trial Balance!E38 = $168,400.00

Deductions!C10 = $24,310.00
=B10

Deductions!B10 = $24,310.00
='E04 Trial Balance'!E43

E04 Trial Balance!E43 = $24,310.00

Deductions!C11 = $0.00
=ROUND(B11-B11,2)

Deductions!B11 = $2,180.00
='E04 Trial Balance'!E54

E04 Trial Balance!E54 = $2,180.00

... 148 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E37, Trial Balance!E38, Trial Balance!E43, Trial Balance!E54, Trial Balance!E42, Trial Balance!E39, Trial Balance!E50, Trial Balance!E52, Trial Balance!E51, Trial Balance!E29, Trial Balance!E32, Trial Balance!E33

03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G25, GL Detail!G45, GL Detail!G31

02 Last Year/2024 Form 1120 return summary.pdf · PDF page 1, the 2024 return's key lines and the taxable income of 2022 and 2023; page 2, Schedule L at the end of 2024

04 Fixed Assets/2025 fixed asset register.xlsx · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 28 · Taxable income before NOL and special deductions

$282,392.05

Workbook: Tax and Payments!B8

Draft figure · open items and review remain

Tax and Payments!B8 = $282,392.05

=ROUND('Income'!B17-'Deductions'!C28,2)

Income!B17 = $1,449,927.58

=ROUND(B15+B16,2)

Income!B15 = $1,446,515.00

=ROUND(B10-B14,2)

Income!B10 = $5,312,400.00

=ROUND(B8-B9,2)

Income!B8 = $5,312,400.00

=ROUND(-('E04 Trial Balance'!E29),2)

E04 Trial Balance!E29 = ($5,312,400.00)

Income!B9 = $0.00

Income!B14 = $3,865,885.00

=ROUND(B11+B12+B13,2)

Income!B11 = $1,010,420.00

=ROUND('E04 Trial Balance'!E32,2)

E04 Trial Balance!E32 = $1,010,420.00

Income!B12 = $887,300.00

=ROUND('E04 Trial Balance'!E33+'E04 Trial Balance'!E34,2)

E04 Trial Balance!E33 = $812,540.00

E04 Trial Balance!E34 = $74,760.00

Income!B13 = $1,968,165.00

=ROUND('E04 Trial Balance'!E31+'E04 Trial Balance'!E35+'E04 Trial Balance'!E36,2)

... 149 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E29, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E31, Trial Balance!E35, Trial Balance!E36, Trial Balance!E30, Trial Balance!E37, Trial Balance!E38, Trial Balance!E43, Trial Balance!E54

03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G25, GL Detail!G45, GL Detail!G31

02 Last Year/2024 Form 1120 return summary.pdf · PDF page 1, the 2024 return's key lines and the taxable income of 2022 and 2023; page 2, Schedule L at the end of 2024

Original documents are attached to this PDF. The workbook is attached too.

04 Fixed Assets/2025 fixed asset register book and tax.xlsx · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 30 · Taxable income

$282,392.05

Workbook: Tax and Payments!B10

Draft figure · open items and review remain

Tax and Payments!B10 = $282,392.05
=ROUND(B8-B9,2)

Tax and Payments!B8 = $282,392.05
=ROUND('Income'!B17-'Deductions'!C28,2)

Income!B17 = $1,449,927.58
=ROUND(B15+B16,2)

Income!B15 = $1,446,515.00
=ROUND(B10-B14,2)

Income!B10 = $5,312,400.00
=ROUND(B8-B9,2)

Income!B8 = $5,312,400.00
=ROUND(-('E04 Trial Balance'!E29),2)

E04 Trial Balance!E29 = ($5,312,400.00)

Income!B9 = $0.00

Income!B14 = $3,865,885.00
=ROUND(B11+B12+B13,2)

Income!B11 = $1,010,420.00
=ROUND('E04 Trial Balance'!E32,2)

E04 Trial Balance!E32 = $1,010,420.00

Income!B12 = $887,300.00
=ROUND('E04 Trial Balance'!E33+'E04 Trial Balance'!E34,2)

E04 Trial Balance!E33 = $812,540.00

E04 Trial Balance!E34 = $74,760.00

... 151 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E29, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E31, Trial Balance!E35, Trial Balance!E36, Trial Balance!E30, Trial Balance!E37, Trial Balance!E38, Trial Balance!E43, Trial Balance!E54

03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G25, GL Detail!G45, GL Detail!G31

02 Last Year/2024 Form 1120 return summary.pdf · PDF page 1, the 2024 return's key lines and the taxable income of 2022 and 2023; page 2, Schedule L at the end of 2024

04 Fixed Assets/2025 fixed asset register.pdf · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 31 · Total tax

$59,302.33

Workbook: Tax and Payments!B12

Draft figure · open items and review remain

Tax and Payments!B12 = $59,302.33

=B11

Tax and Payments!B11 = $59,302.33

=ROUND(B10*B6,2)

Tax and Payments!B10 = $282,392.05

=ROUND(B8-B9,2)

Tax and Payments!B8 = $282,392.05

=ROUND('Income'!B17-'Deductions'!C28,2)

Income!B17 = $1,449,927.58

=ROUND(B15+B16,2)

Income!B15 = $1,446,515.00

=ROUND(B10-B14,2)

Income!B10 = $5,312,400.00

=ROUND(B8-B9,2)

Income!B8 = $5,312,400.00

=ROUND(-('E04 Trial Balance'!E29),2)

E04 Trial Balance!E29 = ($5,312,400.00)

Income!B9 = $0.00

Income!B14 = $3,865,885.00

=ROUND(B11+B12+B13,2)

Income!B11 = $1,010,420.00

=ROUND('E04 Trial Balance'!E32,2)

E04 Trial Balance!E32 = $1,010,420.00

Income!B12 = $887,300.00

=ROUND('E04 Trial Balance'!E33+'E04 Trial Balance'!E34,2)

... 154 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E29, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E31, Trial Balance!E35, Trial Balance!E36, Trial Balance!E30, Trial Balance!E37, Trial Balance!E38, Trial Balance!E43, Trial Balance!E54

03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G25, GL Detail!G45, GL Detail!G31

02 Last Year/2024 Form 1120 return summary.pdf · PDF page 1, the 2024 return's key lines and the taxable income of 2022 and 2023; page 2, Schedule L at the end of 2024

04 Fixed Assets/2025 fixed asset register book and tax.xlsx · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 33 · Total payments

$48,300.00

Workbook: Tax and Payments!B14

Draft figure · open items and review remain

Tax and Payments!B14 = $48,300.00

=ROUND(B13+'E02 Prior Return'!B16,2)

Tax and Payments!B13 = $48,300.00

='E07 Estimates'!D12

E07 Estimates!D12 = $48,300.00

E02 Prior Return!B16 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Estimated Tax/2025 federal estimated tax payments.xlsx · Estimated Payments!D12

02 Last Year/2024 Form 1120 return summary.pdf · PDF page 1, the 2024 return's key lines and the taxable income of 2022 and 2023; page 2, Schedule L at the end of 2024

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 34 · Estimated tax penalty

$123.47

Workbook: Tax and Payments!B15

Draft figure · open items and review remain

Tax and Payments!B15 = $123.47

='Estimated Tax'!D20

Estimated Tax!D20 = $123.47

=ROUND(SUM(D18:D19),2)

Estimated Tax!D18 = $20.35

=ROUND(E18*B18/365*C18,2)

Estimated Tax!E18 = $7,075.00

=ROUND('Estimated Tax'!E14-E13,2)

Estimated Tax!E14 = $7,075.00

=ROUND(MAX(0,SUM(C12:C14)-SUM(D12:D14)),2)

Estimated Tax!C12 = $12,075.00

=ROUND(B10*B6,2)

Estimated Tax!B10 = $48,300.00

=ROUND(MIN(B8,B9),2)

Estimated Tax!B8 = $59,302.33

='Tax and Payments'!B12

Tax and Payments!B12 = $59,302.33

=B11

Tax and Payments!B11 = $59,302.33

=ROUND(B10*B6,2)

Tax and Payments!B10 = $282,392.05

=ROUND(B8-B9,2)

Tax and Payments!B8 = $282,392.05

=ROUND('Income'!B17-'Deductions'!C28,2)

Income!B17 = $1,449,927.58

=ROUND(B15+B16,2)

... 181 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E29, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E31, Trial Balance!E35, Trial Balance!E36, Trial Balance!E30, Trial Balance!E37, Trial Balance!E38, Trial Balance!E43, Trial Balance!E54

03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G25, GL Detail!G45, GL Detail!G31

02 Last Year/2024 Form 1120 return summary.pdf · PDF page 1, the 2024 return's key lines and the taxable income of 2022 and 2023; page 2, Schedule L at the end of 2024

04 Fixed Assets/2025 fixed asset register book and tax.xlsx · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Form 1120 · Tax and Payments · Line 35 · Amount owed

$11,125.80

Workbook: Tax and Payments!B16

Draft figure · open items and review remain

Tax and Payments!B16 = $11,125.80
=ROUND(B12+B15-B14,2)

Tax and Payments!B12 = $59,302.33
=B11

Tax and Payments!B11 = $59,302.33
=ROUND(B10*B6,2)

Tax and Payments!B10 = $282,392.05
=ROUND(B8-B9,2)

Tax and Payments!B8 = $282,392.05
=ROUND('Income'!B17-'Deductions'!C28,2)

Income!B17 = $1,449,927.58
=ROUND(B15+B16,2)

Income!B15 = $1,446,515.00
=ROUND(B10-B14,2)

Income!B10 = $5,312,400.00
=ROUND(B8-B9,2)

Income!B8 = $5,312,400.00
=ROUND(-('E04 Trial Balance'!E29),2)

E04 Trial Balance!E29 = ($5,312,400.00)

Income!B9 = $0.00

Income!B14 = $3,865,885.00
=ROUND(B11+B12+B13,2)

Income!B11 = $1,010,420.00
=ROUND('E04 Trial Balance'!E32,2)

... 186 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E29, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E31, Trial Balance!E35, Trial Balance!E36, Trial Balance!E30, Trial Balance!E37, Trial Balance!E38, Trial Balance!E43, Trial Balance!E54

03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G25, GL Detail!G45, GL Detail!G31

02 Last Year/2024 Form 1120 return summary.pdf · PDF page 1, the 2024 return's key lines and the taxable income of 2022 and 2023; page 2, Schedule L at the end of 2024

04 Fixed Assets/2025 fixed asset register book and tax.xlsx · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

05 Estimated Tax/2025 federal estimated tax payments.xlsx · Estimated Payments!D8, Estimated Payments!D9, Estimated Payments!D10,

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Schedule L · Line 15 · Total assets, end of year

$1,697,760.79

Workbook: Schedule L!C15

Draft figure · open items and review remain

Schedule L!C15 = $1,697,760.79
=ROUND(C8+C9-C10+C11+C13-C14,2)

Schedule L!C8 = $365,777.76
=ROUND('E04 Trial Balance'!E8,2)

E04 Trial Balance!E8 = $365,777.76

Schedule L!C9 = $700,790.00
=ROUND('E04 Trial Balance'!E9+'E04 Trial Balance'!E10,2)

E04 Trial Balance!E9 = $512,340.00

E04 Trial Balance!E10 = $188,450.00

Schedule L!C10 = $6,180.00
=ROUND(-('E04 Trial Balance'!E12),2)

E04 Trial Balance!E12 = ($6,180.00)

Schedule L!C11 = $225,820.00
=ROUND('E04 Trial Balance'!E11+'E04 Trial Balance'!E13+'E04 Trial Balance'!E14,2)

E04 Trial Balance!E11 = $84,220.00

E04 Trial Balance!E13 = $21,600.00

E04 Trial Balance!E14 = $120,000.00

Schedule L!C13 = $582,700.00
=ROUND('E04 Trial Balance'!E15+'E04 Trial Balance'!E16+'E04 Trial Balance'!E17,2)

E04 Trial Balance!E15 = $359,500.00

E04 Trial Balance!E16 = $195,000.00

E04 Trial Balance!E17 = $28,200.00

... 2 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E8, Trial Balance!E9, Trial Balance!E10, Trial Balance!E12, Trial Balance!E11, Trial Balance!E13, Trial Balance!E14, Trial Balance!E15, Trial Balance!E16, Trial Balance!E17, Trial Balance!E18

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Schedule L · Line 25 · Retained earnings, end of year

$675,850.79

Workbook: Schedule L!C20

Draft figure · open items and review remain

Schedule L!C20 = $675,850.79
='Schedule M-2'!B15

Schedule M-2!B15 = $675,850.79
=ROUND(B11-B14,2)

Schedule M-2!B11 = $735,850.79
=ROUND(B8+B9+B10,2)

Schedule M-2!B8 = $348,048.86
='Schedule L'!B20

Schedule L!B20 = $348,048.86
=ROUND(-('E04 Trial Balance'!D27),2)

E04 Trial Balance!D27 = ($348,048.86)

Schedule M-2!B9 = $387,801.93
='Schedule M-1'!B8

Schedule M-1!B8 = $387,801.93
=ROUND(-SUM('E04 Trial Balance'!E29:E55),2)

E04 Trial Balance!E29 = ($5,312,400.00)

E04 Trial Balance!E30 = ($3,412.58)

E04 Trial Balance!E31 = $1,804,350.00

E04 Trial Balance!E32 = $1,010,420.00

E04 Trial Balance!E33 = $812,540.00

E04 Trial Balance!E34 = $74,760.00

E04 Trial Balance!E35 = $104,880.00

E04 Trial Balance!E36 = $58,935.00

... 24 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!D27, Trial Balance!E29, Trial Balance!E30, Trial Balance!E31, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E35, Trial Balance!E36, Trial Balance!E37, Trial Balance!E38, Trial Balance!E39

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Schedule M-1 · Line 1 · Net income per books

$387,801.93

Workbook: Schedule M-1!B8

Draft figure · open items and review remain

Schedule M-1!B8 = $387,801.93
=ROUND(-SUM('E04 Trial Balance'!E29:E55),2)

E04 Trial Balance!E29 = ($5,312,400.00)

E04 Trial Balance!E30 = ($3,412.58)

E04 Trial Balance!E31 = $1,804,350.00

E04 Trial Balance!E32 = $1,010,420.00

E04 Trial Balance!E33 = $812,540.00

E04 Trial Balance!E34 = $74,760.00

E04 Trial Balance!E35 = $104,880.00

E04 Trial Balance!E36 = $58,935.00

E04 Trial Balance!E37 = $290,000.00

E04 Trial Balance!E38 = $168,400.00

E04 Trial Balance!E39 = $36,620.00

E04 Trial Balance!E40 = $44,180.00

E04 Trial Balance!E41 = $18,400.00

E04 Trial Balance!E42 = $66,000.00

E04 Trial Balance!E43 = $24,310.00

E04 Trial Balance!E44 = $58,760.00

E04 Trial Balance!E45 = $33,870.00

E04 Trial Balance!E46 = $83,945.65

... 9 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E29, Trial Balance!E30, Trial Balance!E31, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E35, Trial Balance!E36, Trial Balance!E37, Trial Balance!E38, Trial Balance!E39, Trial Balance!E40

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Schedule M-1 · Line 2 · Federal income tax per books

$48,300.00

Workbook: Schedule M-1!B9

Draft figure · open items and review remain

Schedule M-1!B9 = $48,300.00

=ROUND('E04 Trial Balance'!E55,2)

E04 Trial Balance!E55 = $48,300.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E55

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Schedule M-1 · Line 5 · Expenses on books not deducted

$36,430.00

Workbook: Schedule M-1!B15

Draft figure · open items and review remain

Schedule M-1!B15 = $36,430.00
=ROUND(B12+B13+B14,2)

Schedule M-1!B12 = $30,000.00
='Deductions'!D8

Deductions!D8 = $30,000.00
=ROUND(B8-C8,2)

Deductions!B8 = $290,000.00
='E04 Trial Balance'!E37

E04 Trial Balance!E37 = $290,000.00

Deductions!C8 = $260,000.00
=ROUND(B8-'E05 GL Detail'!G25,2)

E05 GL Detail!G25 = $30,000.00

Schedule M-1!B13 = $4,250.00
='Deductions'!D14

Deductions!D14 = $4,250.00
=ROUND(B14-C14,2)

Deductions!B14 = $57,980.00
='E04 Trial Balance'!E50

E04 Trial Balance!E50 = $57,980.00

Deductions!C14 = $53,730.00
=ROUND(B14-'E05 GL Detail'!G45,2)

E05 GL Detail!G45 = $4,250.00

Schedule M-1!B14 = $2,180.00
='Deductions'!D11

... 4 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E37, Trial Balance!E50, Trial Balance!E54
03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G25, GL Detail!G45

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Schedule M-1 · Line 5b · Charitable contributions over the limit

$4,623.11

Workbook: Schedule M-1!B16

Draft figure · open items and review remain

Schedule M-1!B16 = $4,623.11
='Deductions'!D17

Deductions!D17 = $4,623.11
=ROUND(B17-C17,2)

Deductions!B17 = $36,000.00
='E04 Trial Balance'!E51

E04 Trial Balance!E51 = $36,000.00

Deductions!C17 = $31,376.89
='Charitable'!B14

Charitable!B14 = $31,376.89
=ROUND(MIN(B11+B12,B13),2)

Charitable!B11 = $36,000.00
='E04 Trial Balance'!E51

Charitable!B12 = $0.00
='E02 Prior Return'!B17

E02 Prior Return!B17 = $0.00

Charitable!B13 = $31,376.89
=ROUND(B10*B6,2)

Charitable!B10 = $313,768.94
=ROUND(B8-B9,2)

Charitable!B8 = $1,449,927.58
='Income'!B17

Income!B17 = $1,449,927.58
=ROUND(B15+B16,2)

... 151 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E51, Trial Balance!E29, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E31, Trial Balance!E35, Trial Balance!E36, Trial Balance!E30, Trial Balance!E37, Trial Balance!E38, Trial Balance!E43

02 Last Year/2024 Form 1120 return summary.pdf · PDF page 1, the 2024 return's key lines and the taxable income of 2022 and 2023; page 2, Schedule L at the end of 2024

03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G25, GL Detail!G45, GL Detail!G31

04 Fixed Assets/2025 fixed asset register book and tax.xlsx · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Schedule M-1 · Line 5c · Travel and entertainment

$11,740.00

Workbook: Schedule M-1!B11

Draft figure · open items and review remain

Schedule M-1!B11 = $11,740.00

='Deductions'!D23

Deductions!D23 = $11,740.00

=ROUND(B23-C23,2)

Deductions!B23 = $21,640.00

='E04 Trial Balance'!E47

E04 Trial Balance!E47 = $21,640.00

Deductions!C23 = $9,900.00

=ROUND((B23-'E05 GL Detail'!G31)*B6,2)

E05 GL Detail!G31 = $1,840.00

Deductions!B6 = 50.000%

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E47

03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G31

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

FORM 1120 · FOLLOW THE EVIDENCE

Schedule M-1 · Line 6 · Add lines 1 through 5

$488,895.04

Workbook: Schedule M-1!B17

Draft figure · open items and review remain

Schedule M-1!B17 = $488,895.04
=ROUND(B8+B9+B10+B11+B15+B16,2)

Schedule M-1!B8 = $387,801.93
=ROUND(-SUM('E04 Trial Balance'!E29:E55),2)

E04 Trial Balance!E29 = ($5,312,400.00)

E04 Trial Balance!E30 = ($3,412.58)

E04 Trial Balance!E31 = $1,804,350.00

E04 Trial Balance!E32 = $1,010,420.00

E04 Trial Balance!E33 = $812,540.00

E04 Trial Balance!E34 = $74,760.00

E04 Trial Balance!E35 = $104,880.00

E04 Trial Balance!E36 = $58,935.00

E04 Trial Balance!E37 = $290,000.00

E04 Trial Balance!E38 = $168,400.00

E04 Trial Balance!E39 = $36,620.00

E04 Trial Balance!E40 = $44,180.00

E04 Trial Balance!E41 = $18,400.00

E04 Trial Balance!E42 = $66,000.00

E04 Trial Balance!E43 = $24,310.00

E04 Trial Balance!E44 = $58,760.00

... 161 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E29, Trial Balance!E30, Trial Balance!E31, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E35, Trial Balance!E36, Trial Balance!E37, Trial Balance!E38, Trial Balance!E39, Trial Balance!E40
03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G31, GL Detail!G25, GL Detail!G45
02 Last Year/2024 Form 1120 return summary.pdf · PDF page 1, the 2024 return's key lines and the taxable income of 2022 and 2023; page 2, Schedule L at the end of 2024
04 Fixed Assets/2025 fixed asset register book and tax.xlsx · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

Original document 2026 attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Schedule M-1 · Line 8a · Depreciation

$206,502.99

Workbook: Schedule M-1!B18

Draft figure · open items and review remain

Schedule M-1!B18 = $206,502.99
=ROUND(-'Deductions'!D18,2)

Deductions!D18 = ($206,502.99)
=ROUND(B18-C18,2)

Deductions!B18 = $83,945.65
='E04 Trial Balance'!E46

E04 Trial Balance!E46 = $83,945.65

Deductions!C18 = $290,448.64
='Depreciation'!Q18

Depreciation!Q18 = $290,448.64
=ROUND(SUM(Q8:Q17),2)

Depreciation!Q8 = $0.00
=ROUND(N8+O8,2)

Depreciation!N8 = $0.00

Depreciation!O8 = $0.00
=ROUND((E8-ROUND(E8*L8,2))*M8,2)

Depreciation!E8 = $58,400.00
='E06 Fixed Assets'!G8

E06 Fixed Assets!G8 = $58,400.00

Depreciation!L8 = 100.000%
='E06 Fixed Assets'!M8

E06 Fixed Assets!M8 = $1.00

Depreciation!M8 = 11.520%

... 68 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E46
04 Fixed Assets/2025 fixed asset register book and tax.xlsx · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Schedule M-1 · Line 10 · Income (page 1, line 28)

$282,392.05

Workbook: Schedule M-1!B20

Draft figure · open items and review remain

Schedule M-1!B20 = $282,392.05
=ROUND(B17-B19,2)

Schedule M-1!B17 = $488,895.04
=ROUND(B8+B9+B10+B11+B15+B16,2)

Schedule M-1!B8 = $387,801.93
=ROUND(-SUM('E04 Trial Balance'!E29:E55),2)

E04 Trial Balance!E29 = ($5,312,400.00)

E04 Trial Balance!E30 = ($3,412.58)

E04 Trial Balance!E31 = $1,804,350.00

E04 Trial Balance!E32 = $1,010,420.00

E04 Trial Balance!E33 = $812,540.00

E04 Trial Balance!E34 = $74,760.00

E04 Trial Balance!E35 = $104,880.00

E04 Trial Balance!E36 = $58,935.00

E04 Trial Balance!E37 = $290,000.00

E04 Trial Balance!E38 = $168,400.00

E04 Trial Balance!E39 = $36,620.00

E04 Trial Balance!E40 = $44,180.00

E04 Trial Balance!E41 = $18,400.00

E04 Trial Balance!E42 = $66,000.00

E04 Trial Balance!E43 = $24,310.00

... 166 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E29, Trial Balance!E30, Trial Balance!E31, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E35, Trial Balance!E36, Trial Balance!E37, Trial Balance!E38, Trial Balance!E39, Trial Balance!E40

03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G31, GL Detail!G25, GL Detail!G45

02 Last Year/2024 Form 1120 return summary.pdf · PDF page 1, the 2024 return's key lines and the taxable income of 2022 and 2023; page 2, Schedule L at the end of 2024

04 Fixed Assets/2025 fixed asset register book and tax.xlsx · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Schedule M-2 · Line 8 · Balance at end of year

$675,850.79

Workbook: Schedule M-2!B15

Draft figure · open items and review remain

Schedule M-2!B15 = $675,850.79
=ROUND(B11-B14,2)

Schedule M-2!B11 = $735,850.79
=ROUND(B8+B9+B10,2)

Schedule M-2!B8 = $348,048.86
='Schedule L'!B20

Schedule L!B20 = $348,048.86
=ROUND(-('E04 Trial Balance'!D27),2)

E04 Trial Balance!D27 = ($348,048.86)

Schedule M-2!B9 = $387,801.93
='Schedule M-1'!B8

Schedule M-1!B8 = $387,801.93
=ROUND(-SUM('E04 Trial Balance'!E29:E55),2)

E04 Trial Balance!E29 = ($5,312,400.00)

E04 Trial Balance!E30 = ($3,412.58)

E04 Trial Balance!E31 = $1,804,350.00

E04 Trial Balance!E32 = $1,010,420.00

E04 Trial Balance!E33 = $812,540.00

E04 Trial Balance!E34 = $74,760.00

E04 Trial Balance!E35 = $104,880.00

E04 Trial Balance!E36 = $58,935.00

E04 Trial Balance!E37 = $290,000.00

... 23 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!D27, Trial Balance!E29, Trial Balance!E30, Trial Balance!E31, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E35, Trial Balance!E36, Trial Balance!E37, Trial Balance!E38, Trial Balance!E39

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Form 4562 · Line 14 · Special depreciation allowance

$274,040.00

Workbook: Depreciation!N18

Draft figure · open items and review remain

Depreciation!N18 = $274,040.00
=ROUND(SUM(N8:N17),2)

Depreciation!N8 = $0.00

Depreciation!N9 = $0.00

Depreciation!N10 = $0.00

Depreciation!N11 = $0.00

Depreciation!N12 = $0.00

Depreciation!N13 = $0.00

Depreciation!N14 = $9,840.00
=ROUND(E14*L14,2)

Depreciation!E14 = $24,600.00
='E06 Fixed Assets'!G14

E06 Fixed Assets!G14 = $24,600.00

Depreciation!L14 = 40.000%

Depreciation!N15 = $186,000.00
=ROUND(E15*L15,2)

Depreciation!E15 = $186,000.00
='E06 Fixed Assets'!G15

E06 Fixed Assets!G15 = $186,000.00

Depreciation!L15 = 100.000%

Depreciation!N16 = $62,400.00
=ROUND(E16*L16,2)

... 7 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):
04 Fixed Assets/2025 fixed asset register book and tax.xlsx · Fixed Assets!G14, Fixed Assets!G15, Fixed Assets!G16, Fixed Assets!G17

Original documents are attached to this PDF. The workbook is attached too.

UNSIGNED DRAFT

FORM 1120 · FOLLOW THE EVIDENCE

Form 2220 · Line 5 · Required annual payment

$48,300.00

Workbook: Estimated Tax!B10

Draft figure · open items and review remain

Estimated Tax!B10 = $48,300.00
=ROUND(MIN(B8,B9),2)

Estimated Tax!B8 = $59,302.33
='Tax and Payments'!B12

Tax and Payments!B12 = $59,302.33
=B11

Tax and Payments!B11 = $59,302.33
=ROUND(B10*B6,2)

Tax and Payments!B10 = $282,392.05
=ROUND(B8-B9,2)

Tax and Payments!B8 = $282,392.05
=ROUND('Income'!B17-'Deductions'!C28,2)

Income!B17 = $1,449,927.58
=ROUND(B15+B16,2)

Income!B15 = $1,446,515.00
=ROUND(B10-B14,2)

Income!B10 = $5,312,400.00
=ROUND(B8-B9,2)

Income!B8 = $5,312,400.00
=ROUND(-('E04 Trial Balance'!E29),2)

E04 Trial Balance!E29 = ($5,312,400.00)

Income!B9 = $0.00

Income!B14 = $3,865,885.00
=ROUND(B11+B12+B13,2)

... 159 more steps: the full chain is in the workbook and on the review screen.

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 2025 Accounting/2025 year-end trial balance.xlsx · Trial Balance!E29, Trial Balance!E32, Trial Balance!E33, Trial Balance!E34, Trial Balance!E31, Trial Balance!E35, Trial Balance!E36, Trial Balance!E30, Trial Balance!E37, Trial Balance!E38, Trial Balance!E43, Trial Balance!E54

03 2025 Accounting/2025 general ledger detail.xlsx · GL Detail!G25, GL Detail!G45, GL Detail!G31

02 Last Year/2024 Form 1120 return summary.pdf · PDF page 1, the 2024 return's key lines and the taxable income of 2022 and 2023; page 2, Schedule L at the end of 2024

04 Fixed Assets/2025 fixed asset register book and tax.xlsx · Fixed Assets!G8, Fixed Assets!M8, Fixed Assets!G9, Fixed Assets!M9, Fixed Assets!G10, Fixed Assets!M10, Fixed Assets!G11, Fixed Assets!M11, Fixed Assets!G12, Fixed Assets!M12, Fixed Assets!G13, Fixed Assets!M13

UNSIGNED DRAFT

Original documents are attached to this PDF. The workbook is attached too.

WHAT STILL NEEDS A PERSON

BONUS-01 · $11,808.00: FA-2501 equipment trailer, 20-ton tilt deck, $24,600.00: purchase order PO-24-117 was signed December 18, 2024 and the trailer was placed in service January 27, 2025. Property acquired before January 20, 2025 gets the 40% allowance, so the draft deducts $12,792.00; the depreciation software took 100%, $24,600.00, $11,808.00 more. A person confirms the purchase order was a binding written contract on that date and corrects the register before filing Form 4562.

OFFICER-01 · $290,000.00: The members' written consent approving 2025 officer pay ($290,000.00: salaries of $150,000.00 and $110,000.00 and the President's $30,000.00 bonus) was prepared December 18, 2025 and neither member has signed it. The draft deducts the $260,000.00 of salaries paid in 2025 on line 12 and Form 1125-E; the bonus, accrued to a 60% owner and paid January 9, 2026, is deducted in 2026 under section 267(a)(2). A person obtains the signed consent and support that the pay is reasonable.

RELATED-01 · $120,000.00: On June 30, 2025 HANGS wired $120,000.00 to Juniper Ridge Partners LLC, a single-member LLC owned by the Vice President (a 40% member), with no note, no interest and no repayment date. The draft carries it as a receivable on Schedule L line 6 and imputes no interest. A person decides whether it is bona fide debt (a signed note at a market rate with a repayment schedule) or a distribution to the Vice President, and whether section 7872 interest applies.

ESTTAX-01 · $123.47: The third installment, due September 15, 2025, was $7,075.00 short; the December 15 payment made it up. The regular method gives a $123.47 penalty, entered on line 34. A person decides whether the annualized income installment method (Form 2220 Schedule A) lowers it, and whether to attach Form 2220 or let the IRS bill the penalty.

RETURN-01 · $11,125.80: Unsigned draft. The 2025 return and the $11,125.80 balance were due April 15, 2026; Form 7004 extends only the time to file, to October 15, 2026. Resolve BONUS-01, OFFICER-01 and RELATED-01 first; an officer signs, and a person files. $4,623.11 of contributions carries over to 2026. Nothing has been filed.

This PDF is an unsigned draft in the return's lines. It is not the official Form 1120, and it has not been reviewed or filed.

UNSIGNED DRAFT

TAX RULE CHECKS

Official sources checked during this run. These checks inform a reviewer, change no amount and settle no judgment.

What is the 2025 corporate income tax rate?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts
https://www.irs.gov/instructions/i1120
Taxable income of $282,392.05 times 21% is $59,302.33, the total tax on line 31. There are no credits and no corporate alternative minimum tax (that applies only to very large corporations).

When is the 2025 calendar-year return due?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts
https://www.irs.gov/instructions/i1120
The return and the $11,125.80 balance (tax less payments, plus the estimated tax penalty) were due April 15, 2026. This run prepares an unsigned draft; a person confirms the filing status, signs and files (RETURN-01).

Must HANGS complete Schedules L, M-1 and M-2, and is Schedule M-3 needed instead?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts
https://www.irs.gov/instructions/i1120
Total receipts of $5,315,812.58 and year-end assets well over $250,000 but under $10 million: Schedules L, M-1 and M-2 are completed and Schedule M-3 is not required.

Is Form 1125-E required, and what supports the officers' 2025 pay?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · blocked-by-missing-fact
https://www.irs.gov/instructions/i1120
Form 1125-E is required. The salaries paid in 2025, $150,000.00 to the President and $110,000.00 to the Vice President, agree with payroll and the ledger. The members' written consent approving 2025 pay, the $30,000.00 bonus included, was prepared December 18, 2025 and is unsigned (OFFICER-01).
Stays with a person: A person obtains the signed consent and support that the pay is reasonable (OFFICER-01).

Can the bonus accrued at December 31, 2025 to the President, a 60% owner, be deducted in 2025?

Verified Online · 26 U.S. Code 267, Losses, expenses, and interest with respect to transactions between related taxpayers · retrieved 2026-11-08 · determined-by-facts
https://www.law.cornell.edu/uscode/text/26/267
The $30,000.00 bonus accrued December 31, 2025 to the President (60%) was paid January 9, 2026. It is deducted on the 2026 return, not on 2025's: line 12 is $260,000.00 and the $30,000.00 is added back on Schedule M-1 line 5.

How much of the 2025 meals and entertainment account is deductible?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts
https://www.irs.gov/instructions/i1120
Account 6350 holds $21,640.00: $19,800.00 of business meals, deductible at 50% ($9,900.00), and $1,840.00 of stadium suite tickets, entertainment with no meal, not deductible. $11,740.00 goes on Schedule M-1 line 5c.

Is the Labor and Industries citation penalty deductible?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts
https://www.irs.gov/instructions/i1120
The $4,250.00 fall-protection citation penalty paid July 14, 2025 sits in account 6500, taxes and licenses. It is taken out of line 17 and added back on Schedule M-1 line 5. Nothing in the file shows any part as restitution or compliance cost.

UNSIGNED DRAFT

TAX RULE CHECKS, CONTINUED

How much of the $36,000.00 of contributions is deductible for 2025?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i1120

Taxable income before contributions is $313,768.94, so the limit is $31,376.89. Of the $36,000.00 given to four section 501(c)(3) organizations, $31,376.89 is deducted on line 19 and $4,623.11 carries over to 2026 through 2030 (Schedule M-1 line 5b). There was no carryover from 2024.

Is the increase in the allowance for doubtful accounts deductible?

Verified Online · Instructions for Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i1120

No receivable was written off in 2025; the $2,180.00 book expense raised the allowance from $4,000.00 to $6,180.00. Line 15 is zero and the $2,180.00 is added back on Schedule M-1 line 5.

What special depreciation allowance applies to the excavator, the crew 3 truck and the tablets acquired in 2025?

Verified Online · Instructions for Form 4562 (2025), Depreciation and Amortization · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i4562

FA-2502 excavator ($186,000.00, contract February 24, 2025), FA-2503 crew 3 truck ($62,400.00) and FA-2504 tablets ($15,800.00): 100%, $264,200.00. The client made no election out and no 40% election (Q9).

What allowance applies to the trailer ordered in December 2024 and delivered in January 2025?

Verified Online · Publication 946 (2025), How To Depreciate Property · retrieved 2026-11-08 · needs-human-judgment

https://www.irs.gov/pub/irs-pdf/p946.pdf

FA-2501 trailer, $24,600.00: purchase order PO-24-117 signed December 18, 2024, delivered January 27, 2025. The allowance is 40%, $9,840.00, plus 20% MACRS on the $14,760.00 left, $2,952.00: $12,792.00. The client's register took 100% ($24,600.00), $11,808.00 too much. The draft uses $12,792.00 (BONUS-01).

Stays with a person: A person confirms PO-24-117 was a binding written contract on December 18, 2024 and corrects the register (BONUS-01).

What recovery period and rates apply to the construction equipment, vehicles and computers?

Verified Online · Publication 946 (2025), How To Depreciate Property · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/pub/irs-pdf/p946.pdf

Every asset is 5-year property (construction equipment in asset class 15.0, trucks and the trailer, computers). No 2025 addition was placed in service in the last quarter, so the half-year convention applies. 2025 tax depreciation is $290,448.64 against $83,945.65 of book depreciation: $206,502.99 on Schedule M-1 line 8a.

What did HANGS have to pay in each 2025 installment?

Verified Online · Instructions for Form 2220 (2025), Underpayment of Estimated Tax by Corporations · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/instructions/i2220

The 2025 tax is $59,302.33 and the 2024 tax $48,300.00 (a 12-month return). HANGS is not a large corporation: its taxable income was $186,400.00, $211,900.00 and $230,000.00 in 2022 to 2024. Each installment was $12,075.00. June 15, 2025 was a Sunday, so June 16 was on time.

How is the penalty for the short September installment figured?

Verified Online · Instructions for Form 2220 (2025), Underpayment of Estimated Tax by Corporations · retrieved 2026-11-08 · needs-human-judgment

https://www.irs.gov/instructions/i2220

The September 15 installment was $7,075.00 short. The $19,150.00 paid December 15 first made it up, then paid the fourth installment in full. The penalty runs 91 days, September 15 to December 15, 2025: $123.47, on line 34 (ESTTAX-01).

Stays with a person: A person decides whether the annualized income installment method (Schedule A) would lower the penalty, and whether to attach Form 2220 or let the IRS bill it (ESTTAX-01).

UNSIGNED DRAFT

TAX RULE CHECKS, CONTINUED

What underpayment rate applies to the September to December 2025 period?

Verified Online · Form 2220 (2025), Underpayment of Estimated Tax by Corporations · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/pub/irs-pdf/f2220.pdf

15 days in the July to September quarter ($7,075.00 x 15/365 x 7% = $20.35) and 76 days in the October to December quarter ($7,075.00 x 76/365 x 7% = $103.12).

Which 2025 Form 1120 lines and Schedule M-1 lines does the draft fill?

Verified Online · Form 1120 (2025), U.S. Corporation Income Tax Return · retrieved 2026-11-08 · determined-by-facts

https://www.irs.gov/pub/irs-pdf/f1120.pdf

Lines 1a to 30 and 31 to 35 of the 2025 form, Schedule J, Schedule K answers from the questionnaire, Schedule L, Schedule M-1 and Schedule M-2. Line 32 (section 1062) is blank: HANGS sold no farmland.

Is the $120,000.00 advance to Juniper Ridge Partners LLC a loan, and does it carry imputed interest?

Verified Online · 26 U.S. Code 7872, Treatment of loans with below-market interest rates · retrieved 2026-11-08 · needs-human-judgment

https://www.law.cornell.edu/uscode/text/26/7872

June 30, 2025: $120,000.00 wired to Juniper Ridge Partners LLC (owned by the Vice President, a 40% member), no note, no interest, no repayment date. The draft keeps it as a receivable on Schedule L line 6 and imputes no interest (RELATED-01).

Stays with a person: A person decides whether the advance is bona fide debt (a signed note, a market rate, a repayment schedule) or a distribution, and whether section 7872 interest applies (RELATED-01).

UNSIGNED DRAFT